

Does M&A create value?

786 significant acquisitions by US listed companies, followed for three to five years after closing: shareholder returns against comparable stocks, risk-adjusted alphas, margins and goodwill. Rebuilt from SEC filings, prices including delisted stocks, and Fama-French benchmarks.

−12.4%

mean 36-month abnormal return vs size and book-to-market peers

37%

of acquirers beat their benchmark over three years

−6.8%

yearly five-factor alpha when the deal was paid partly or mostly in stock

Only deals that matter to the acquirer.

SAMPLE

Acquirer-years with \$100m+ spent on acquisitions, 2011 to 2022 (XBRL)	7,304
Outside finance and utilities	5,596
Completion filed on 8-K Item 2.01, 2012 to 2021	2,007
Matched to a validated price series	1,666
At least 10% of acquirer value, one deal per 3 years	786

Median deal \$618m, 27% of the acquirer's market value. Each ticker match is checked against the public float on the 10-K cover. Firms that delist earn the benchmark for the rest of the window.

TWO WAYS TO MEASURE

Event time: buy-and-hold

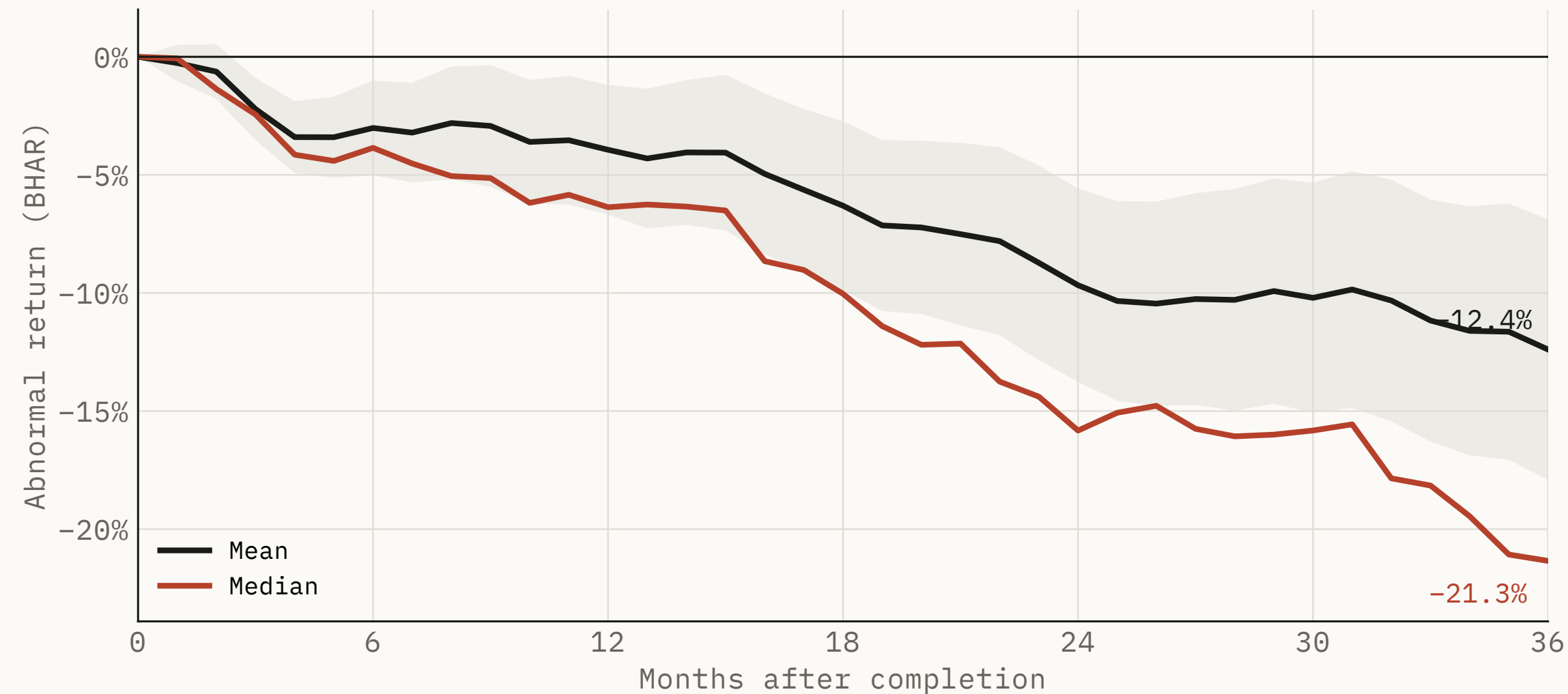
Compound the acquirer's monthly total return from month 1 to 36 and subtract its Fama-French size and book-to-market portfolio. What a shareholder actually earned; skewness-adjusted and bootstrapped tests.

Calendar time: alpha

Each month, hold every acquirer within 36 months of its deal; regress on five factors plus momentum. Handles overlapping deals and risk exposures; the test Fama (1998) prefers.

Acquirers fell 12.4% behind their peers in three years.

MEAN AND MEDIAN BHAR, MONTHS AFTER COMPLETION · SHADED: 95% INTERVAL OF THE MEAN



−3.9%

after 12 months

−12.4%

after 36 months · median −21.3% · $t = -4.11$

−18.6%

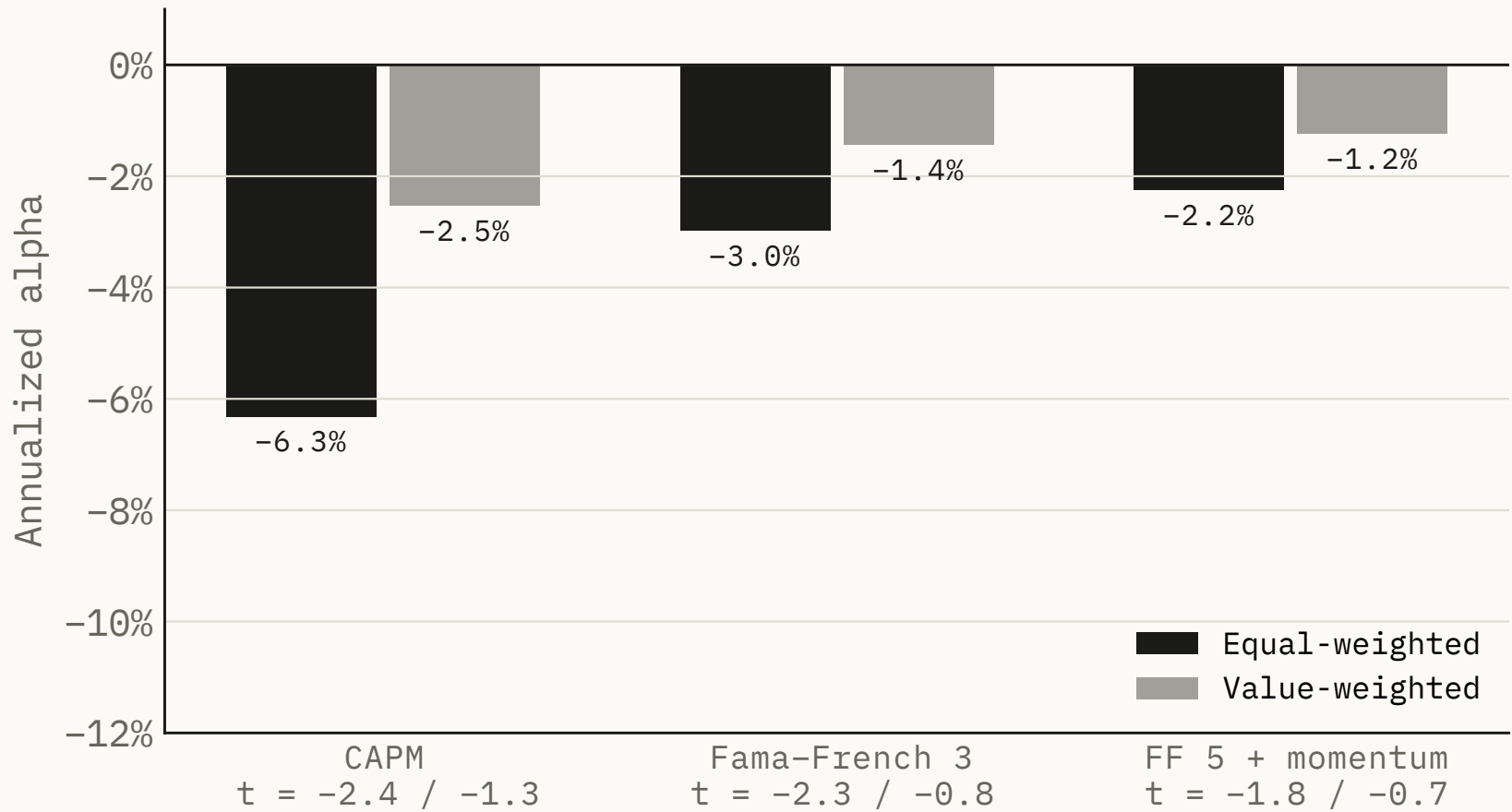
after 60 months · 641 deals with a five-year window

−18% to −11%

36-month mean across 9 specifications

Most of the gap is the acquirer. Paying in stock is not.

ANNUALISED ALPHA BY MODEL · T-STATISTICS EQUAL / VALUE-WEIGHTED



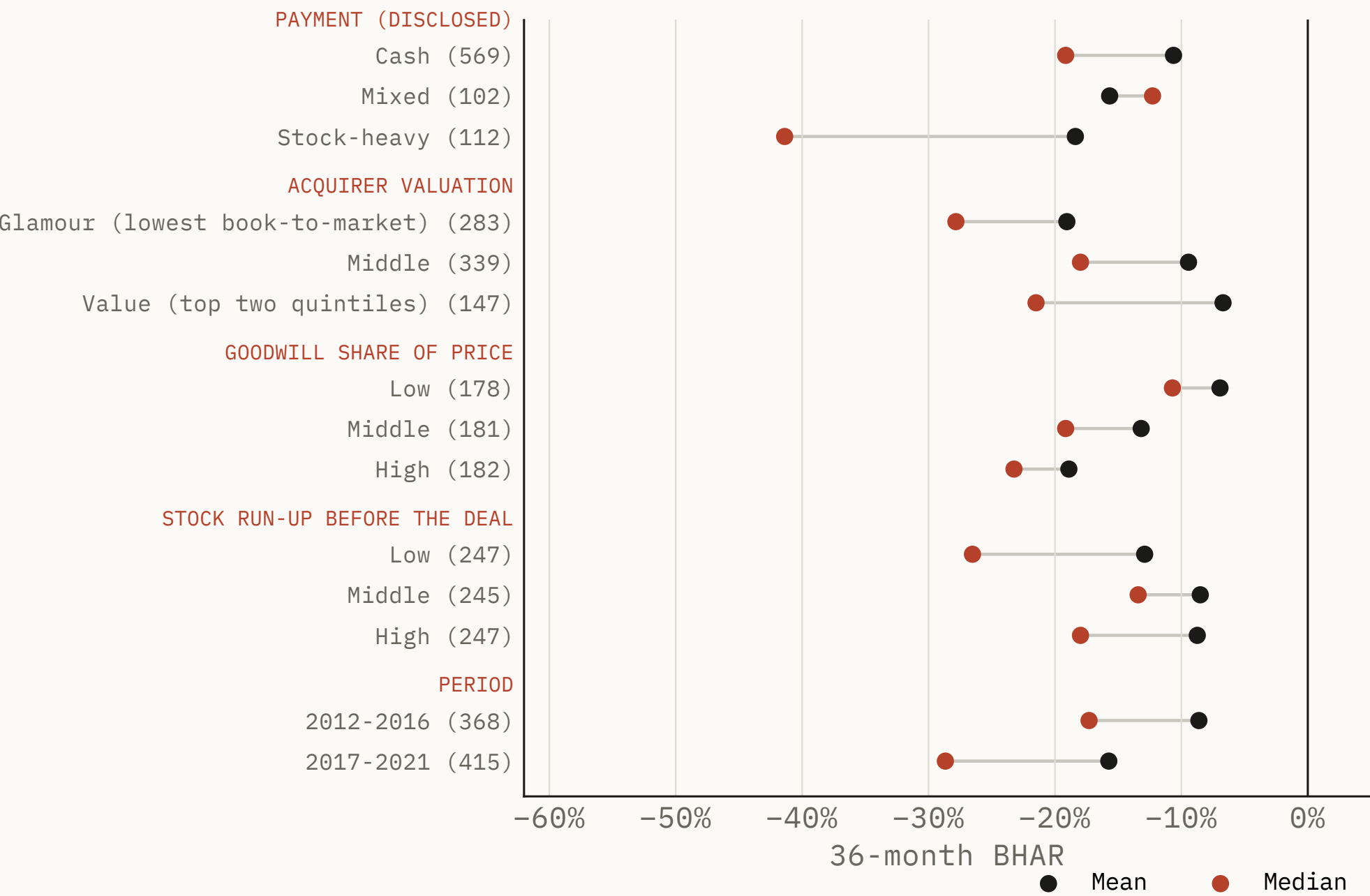
FIVE FACTORS + MOMENTUM, ALPHA PER MONTH

PORTFOLIO	ALPHA	T	SIGNIF.
All acquirers, equal-weighted	-0.19%	-1.80	10%
All acquirers, value-weighted	-0.10%	-0.72	n.s.
Paid in cash	-0.10%	-0.82	n.s.
Paid partly or mostly in stock	-0.58%	-3.18	1%
Stock minus cash	-0.54%	-2.65	1%

Loadings explain the gap: beta 1.14, small-cap tilt 0.78, momentum -0.13. Newey-West t-statistics, 153 months.

Stock, glamour and goodwill point the wrong way.

36-MONTH BHAR · BLACK MEAN, RED MEDIAN · DEALS IN BRACKETS



-41.4%

median, paid mostly in stock · cash -19.2%

-19.1%

mean, glamour acquirers · value acquirers -6.7%

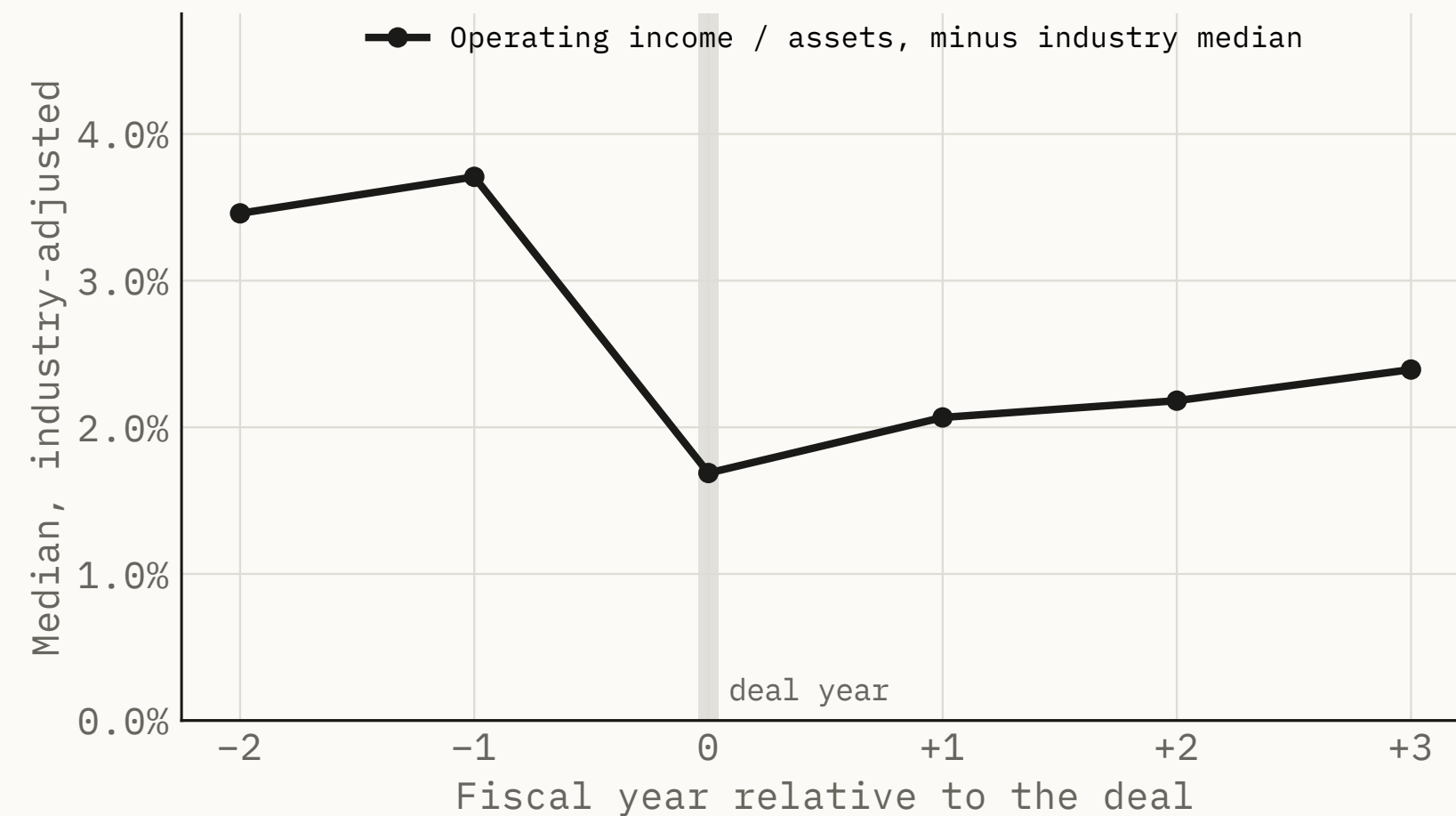
-18.9%

mean, highest goodwill share of price · lowest -6.9%

In one regression with all traits and industry, none is significant on its own (R^2 0.04): warning signs, not a formula.

No synergies in the margins; goodwill write-downs are common.

INDUSTRY-ADJUSTED OPERATING ROA, MEDIAN • FISCAL YEARS VS THE DEAL



+3.8% → +2.1%

adjusted ROA, year -1 to years +1 to +3

-0.44%

abnormal change after mean reversion, $t = -1.14$

SHARE OF ACQUIRERS WITH A GOODWILL IMPAIRMENT



47%

impaired goodwill within five years

33%

impaired at least 10% of the deal value

Four questions before approving a large deal.

Start from the base rate

63% of acquirers trailed comparable stocks over three years. A deal case should say why this one is different, in terms that can be checked.

Price the currency

Stock-funded acquirers lost about 7% a year after risk adjustment, cash acquirers 1.2%. Ask what the side taking shares believes about their value.

Track the synergies

Margins did not improve beyond mean reversion. Tie the integration plan to margin and cash-flow milestones for years one to three.

Stress the goodwill

Deals with the most goodwill did worst, and 47% of acquirers impaired within five years. Most of the price should be explained by the plan.

Limits: deals from XBRL spending and 8-K Item 2.01 dates rather than a deal database; payment relies on filer tags; 83% of candidates matched to prices; benchmarks do not control for industry; returns show association, not causation. Deliverables: interactive page, Colab notebook, Excel model with live formulas, paper, memo.